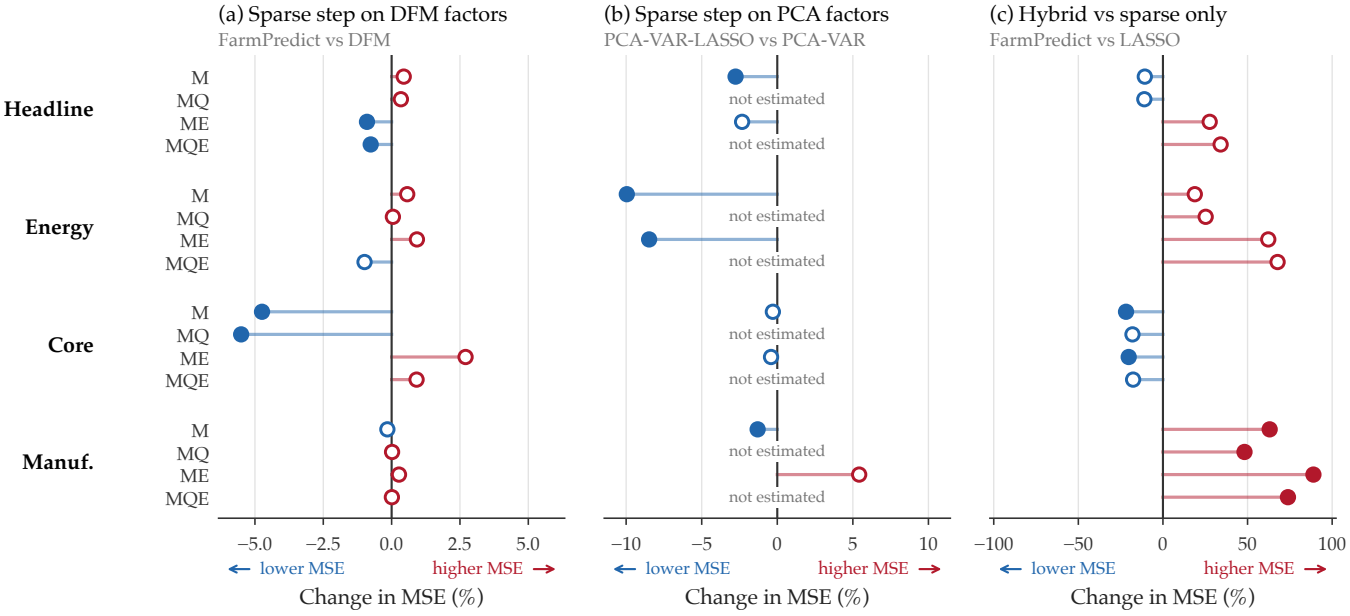
(a) Sparse step on DFM factors
FarmPredict vs DFM
(b) Sparse step on PCA factors
PCA-VAR-LASSO vs PCA-VAR
(c) Hybrid vs sparse only
FarmPredict vs LASSO
Headline
Energy
Core
Manuf.
M
MQ
ME
MQE
not estimated
−5.0
−2.5
0.0
2.5
5.0
−10
−5
0
5
10
−100
−50
0
50
100
lower MSE
higher MSE
Change in MSE (%)
significant at 10%
not significant